

Chapter 8 - Borrowing Related Products

Borrowing is an act of taking money and paying it back over a period of time. In meeting financial goals, in case the savings is inadequate, one resorts to borrowing. Borrowing provides the flexibility of repaying in small instalments over time called Equated Monthly Instalments (EMI).

List of Documents required for obtaining Loans:

- ✓ Proof of Identity: - Passport, / Driving License / Voters ID / PAN Card (any one)
- ✓ Proof of Residence: - Leave and License Agreement / Utility Bill (not more than 3 months old) / Passport (any one).
- ✓ Latest 3 months bank statement (where salary or income is credited).
- ✓ Salary slips for last 3 months.
- ✓ 2 passport size photographs.
- ✓ Collateral proof

Collateral is a property or other asset that a borrower offers as a way for a lender to secure the **loan**. If the borrower stops making the promised loan payments, the lender can seize the **collateral** to recoup its losses. A lender's claim to a borrower's collateral is called a **lien**.

Different Type Of Loans Available

The banking institutions provide loans to individuals and business community such as:

Scheme	Key Features
Personal Loan	- The loan can be utilized for any purpose, for example, paying debt, marriage expenses or vacation expenditure. No collateral security is required for this type of loan.
Vehicle Loan	- This loan is issued for the purpose of purchasing new or second-hand vehicles for personal and commercial uses.
Education Loan	- Education loan is required for students and family to meet the financial goal of higher education. - Students should have an admission offer from an institution before they apply for education loan.
Gold Loan	- Gold loan is given only on providing gold as security to a bank or any other lending institution.
Housing Loan	- Housing Loans are taken by people for a variety of home-related purposes such as construction of home, home renovation, home extension, buying of property or land etc.

5 Cs in Credit – One stop guide to get your loan sanctioned

The banks generally follow a conservative approach of processing the loan request of the borrowers. In this analysis bankers consider five elements and these are known as 5 Cs in credit. These are:

Capacity: The prospective lender will want to know exactly how you intend and your capacity to repay the loan.

Character: The lender will form a subjective opinion as to whether or not you are sufficiently trustworthy to repay the loan or generate a return on funds invested in your company.

Capital: Capital is the money you personally have invested in the business and is an indication of how much you have at risk should the business fail.

Collateral: Banks insist on security that is created out of loan proceeds.

Conditions Describe the intended purpose of the loan. Will the money be used for working capital, additional equipment or inventory?

Credit Score

Credit information agencies play a vital role in decision making in loan application process. After an applicant fills out the application form and hands it over to the lender, the lender first checks the credit score and credit report of the applicant. If the credit score is low, the lender may not even consider the application further and reject it at that point. If the credit score is high, the lender will look into the application and consider other details to determine if the applicant is credit-worthy. The credit score works as a first impression for the lender, the higher the score, the better are your chances of the loan being reviewed and approved. The decision to lend is solely dependent on the lender and credit score or credit report does not in any manner decide if the loan or credit card should be sanctioned or not.

Credit Information Bureau (India) Ltd (CIBIL) is India's first credit information company, also commonly referred as a credit bureau. CIBIL collects and maintains records of individuals' and non-individuals' (commercial entities) payments pertaining to loans and credit cards. These records are submitted to CIBIL by banks and other lenders on a monthly basis; using this information a Credit Information Report (CIR) and credit score is developed, enabling lenders to evaluate and approve loan applications. A credit bureau is licensed by the RBI and governed by the Credit Information Companies (Regulation) Act of 2005. The Reserve Bank of India requires all credit bureaus to give one free full credit report, every year, to all consumers.



TIPS TO AVOID "DEBT TRAP"

Tip#01

Debt can be managed with the right mindset and discipline. Do not buy more than what you can afford. Do not be lured into "want" items. If you must have it, save up gradually for it.

Tip#02

Getting the maximum mortgage loan tenure does not necessarily mean we need to take as long to repay. We should always try and make early principal repayment so as to save on interest.

Tip#03

Realise that credit cards should only be used to facilitate payment and not as a means to borrow money. Pay off your monthly credit card bills in full every month to avoid being in a debt trap.

Tip#04

Never treat credit cards as free money. For those that already have a huge balance on their card, please stop using credit cards totally and dedicate yourself to pay up as much as possible each month.

Tip#05

Stop all activities that result in debt. Change your lifestyle to accumulate more savings to repay your debt.

Tip#06

Use a debit card instead of a credit card. It eliminates the risk of spending beyond your means.

Tip#07

Spend within your means, buy things you can afford to pay, don't buy blindly by charging all your expenses to credit cards. You will regret if you can't pay in full.